www.tntextbooks.in

Illustration 19

Given below are the balances of Pandian as on 31st March, 2016.

Particulars	Debit `	Credit `
Capital		1,20,000
Sundry debtors and creditors	22,000	22,500
Sales		59,700
Drawings	2,000	
Cash in hand	8,200	
Cash at bank	30,000	
Wages	2,500	
Purchases	10,000	
Opening stock	30,000	
Business premises	60,000	
Bills receivable	14,500	
Office telephone expenses	3,500	
General expenses	9,000	
Goodwill	10,500	
	2,02,200	2,02,200

Adjustments:

(a) The stock value at the end of the accounting period was ` 5,000
(b) Interest on capital at 6% is to be provided
(c) Interest on drawing at 5% is to be provided
(d) Write off bad debts amounting to ` 2,000
(e) Create provision for bad and doubtful debts on sundry debtors @ 10%

Prepare final accounts for the year ended 31st March, 2016.

Solution

In the books of Pandian

Dr. Trading and Profit and Loss Account for the year ended 31st March, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Opening stock		30,000	By Sales		59,700
To Purchases		10,000	By Closing Stock		5,000
To Wages		2,500			
To Gross Profit c/d		**22,200**			
		64,700			64,700
To Office telephone expenses		3,500	By Gross profit b/d		22,200
To General expenses		9,000	By Interest on drawings		100
To Interest on capital (1,20,000 x 6/100)		7,200	(2000 x5/100)		
			By Net loss		**1,400**
To Bad debts		2,000	(transferred to capital account)		
To Provision for bad and doubtful debts		2,000			
		23,700			23,700